

THE WALL STREET JOURNAL.

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★★★★ \$5.00

DJIA 44470.41 ▲ 167.01 0.38%

NASDAQ 19714.27 ▲ 1.0%

STOXX 600 545.92 ▲ 0.6%

10-YR. TREAS. ▼ 2/32, yield 4.492%

OIL \$72.32 ▲ \$1.32

GOLD \$2,914.30 ▲ \$47.00

EURO \$1.0308

YEN 151.99

What's News

Business & Finance

- ◆ **A consortium of investors** led by Elon Musk offered \$97.4 billion to buy the nonprofit that controls OpenAI, raising the stakes in his battle with Sam Altman over the company that developed ChatGPT. **A1**
- ◆ **Trump announced 25% tariffs** on imports of steel and aluminum to the U.S., reinstating global duties without exceptions for allies such as Canada, Mexico, Japan and South Korea that were relaxed by the Biden administration. **A2**
- ◆ **U.S. stocks rose** as investors shrugged off the risk that Trump's steel and aluminum tariffs could ignite a trade war. The S&P 500, Nasdaq and Dow gained 0.7%, 1% and 0.4%, respectively. **B9**
- ◆ **BYD widened its lead** over Tesla in artificial-intelligence-powered driving technology for Chinese car buyers with the introduction of a new system for low-price mass-market vehicles. **B1**
- ◆ **Activist Elliott Investment Management** has built a more than \$2.5 billion stake in Phillips 66 and plans to push the oil refiner to consider operational changes, said people familiar with the matter. **B1**
- ◆ **McDonald's U.S. store** sales and earnings fell as it dealt with the fallout of an E. coli outbreak hitting its domestic business last year. **B1**
- ◆ **Super Bowl audiences** responded better to sentimental ads than to technology-themed spots, a panel-based ranking suggested. **B1**
- ◆ **A record 126 million people** watched the Super Bowl on Fox and various streaming platforms, according to preliminary numbers. **B2**

World-Wide

- ◆ **Trump put the brakes** on a law that forbids U.S. companies from bribing foreign officials to win business, one that is routinely enforced by the Justice Department and the SEC. **A1**
- ◆ **The Justice Department** ordered New York federal prosecutors to drop their bribery case against New York City Mayor Eric Adams, in a decision poised to end a high-profile prosecution that began under the Biden administration. **A3**
- ◆ **A judge ordered** the Trump administration to restore federal funding it had tried to freeze, saying the White House wasn't fully complying with an earlier ruling against it. **A4**
- ◆ **Hamas said it would** postpone this week's release of Israeli hostages following a long-running dispute over access to tents and mobile homes needed for shelter. **A9**
- ◆ **Trump said Palestinians** wouldn't have the right to return to Gaza under his plan to rebuild the territory. **A9**
- ◆ **The Trump administration's** promise of mass deportations and immigration raids is already having chilling effects on spending by immigrants, some of whom are undocumented and afraid to leave the house. **A3**
- ◆ **New York state banned** the use of DeepSeek on government devices, citing concerns over data privacy and censorship in the generative AI app from China. **A7**
- ◆ **California's wildfires** spared a number of vacant high-end homes in an LA suburb, properties that some displaced families see as a potential refuge going to waste. **A3**

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Vance Arrives in a Europe Braced for Tense Talks



NEW DIPLOMACY: Vice President JD Vance, with his wife, Usha, and their children, arrived in Paris on Monday as the Trump administration plans talks with European leaders on contentious issues including trade, tech regulation and military spending. **A8**

Xi Pursues Economic Fortress As Shield Against U.S. Pressure

A day in China could easily start like this: Roll out of bed and swipe through WeChat messages on your Huawei smartphone. Hop into a BYD

By Brian Spegele,
Jason Douglas
and Yoko Kubota

electric car and drive to the railroad station, where a high-speed train from a state-run factory whisks you to your destination. Chinese-designed nuclear plants, solar farms and wind turbines power the city's lights.

China is racing to make itself less reliant on the outside world's products and technology—part of a yearslong effort by leader Xi Jinping to make China more self-sufficient and impervious to Western pressure as tensions with the U.S. rise. Beijing has poured hundreds of billions of dollars into favored industries, especially in high-end manufacturing, while exhorting business leaders to fall in line with the government's priorities.

In many ways, the effort is succeeding. Instead of relying on for-

eign companies for robots and medical devices, China is making more of its own. Chinese-made solar panels are replacing some of the country's need for imported energy. The success of China's electric-vehicle makers and artificial-intelligence upstart DeepSeek has ignited fears that China might even eclipse the West in some cutting-edge sectors.

Beneath those wins, however, Xi's industrial policy is hugely expensive, eating up state resources as government revenue is stagnating. One estimate by the Washington-

based Center for Strategic and International Studies put China's annual spending on industrial policy at around \$250 billion as of 2019.

Large sums have been wasted on projects that failed, especially in areas such as advanced semiconductors.

The flood of investment pouring into Chinese factories is also causing problems for China abroad, as it leads to enormous quantities of Chinese goods that are being pushed onto foreign markets at cut-rate prices, exacerbat-

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President Backs Off Enforcing Corporate Bribery Law

By DAVE MICHAELS

WASHINGTON—President Trump put the brakes on a law that forbids U.S. companies from bribing foreign officials to win business.

Trump signed an executive order on Monday aimed at the Foreign Corrupt Practices Act, a 47-year-old statute that has been used to punish overseas misconduct at banks such as Goldman Sachs and mining giants such as Glencore.

The president's directive asked for "revised, reasonable enforcement guidelines" from the Justice Department that won't hamper U.S. firms competing abroad, according to a statement from the White House.

The law puts U.S. firms at a disadvantage to overseas rivals because they can't engage in practices that are "common among international competitors," the White House said. Excessive enforcement also crimps the president's authority to conduct foreign affairs, the White House said.

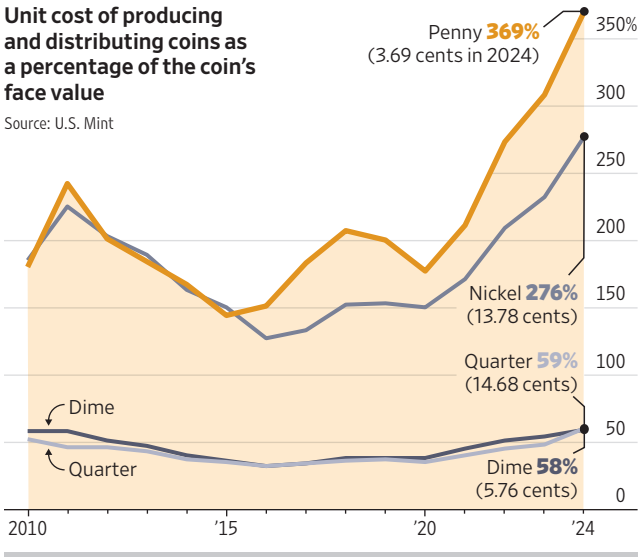
The antibribery law is routinely enforced by the Justice Department and Securities and Exchange Commission, which devote specialized prosecutors to it. The agencies filed 30 antibribery enforcement actions last year, according to the law firm Gibson Dunn. It often targets payments that companies or their subsidiaries make to middlemen who help them

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◆ **Prosecutors told to drop Adams charges**..... **A3**

Trump Looks to Pinch Pennies

President Trump said he wants the U.S. Treasury to stop producing new pennies, citing their high cost, reviving a longstanding debate about getting rid of the coin. **A2**



How Good Is Scrabble's GOAT? He'll Beat You in Any Language.

Nigel Richards won in French and Spanish, despite barely speaking a word of either

By NATASHA DANGOOR

Nigel Richards is the reigning world champion of Scrabble in Spanish. Just don't ask him to order a coffee in Madrid. The 57-year-old New Zealander doesn't speak a lick of Spanish.

During the deciding match in November's Spanish World Scrabble Championship in Granada, Spain, Richards racked up triple-word scores with ENRUGASE ("to wrinkle up") and ENHOTOS (an archaic word for "familiarity"), before clinching victory with TRINIDAD and SABURROSA (an obscure word describing the tongue's coated residue).

Not that Richards knew the meaning of any of those words.

One Spanish TV broadcaster called his win the "ultimate humiliation." The global Scrabble community wasn't so surprised. Richards had done this before—in French.

When he won that language's Scrabble world championship in 2015 and again in 2018, he could greet his opponents with bonjour but couldn't say much else.

What Richards lacks in linguistic ability he more than makes up for with an encyclopedic memory and an unrivaled ability to decode patterns, according to friends and opponents.

"He memorizes words as soon as he reads them once," said Hector Klie, who has represented the U.S. in Scrabble

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Oil Industry's Ugly Divorce: Chevron Ditches California

After pumping oil in the Golden State since 1876, goodwill has gone dry

By COLLIN EATON

After more than 140 years together, Chevron dumped California via text, in a split fueled by snubs, insults, accusations and the lure of a new partner.

Chief Executive Mike Wirth tried to reach Democratic Gov. Gavin Newsom for more than a week last summer and texted him, hoping to get the governor on the phone. He wanted to talk to Newsom about the company's plans to move its global headquarters from San Ramon, Calif., to Houston.

We're about to make an announcement. I'd like to tell you

before you read about it.

Newsom's reply was, essentially, *I don't need to talk about it. I'm good.*

Wirth told Newsom over texts that the company was about to make public its move to a more fossil-friendly state. The CEO called Texas Gov. Greg Abbott to tell him personally. Ecstatic, the Republican governor, who had courted Chevron for years, asked if the company needed any special help for relocation.

Wirth declined. Moving to Texas, apparently, was reward enough.

On Aug. 2, when Chevron announced its headquarters

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INSIDE



PERSONAL JOURNAL

One student's quest to attend New York University for free—and save \$350,000. **A12**



SPORTS

The Chiefs collapsed at the Super Bowl—but the cracks were already showing. **A14**